

PHANTOM BILLIONS

A Forensic Examination of Türkiye's Invisible Energy Subsidies

Fossil Fuel Support Intelligence Report · 2020–2023

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₺277.7B

Total Real Support Value
(2020–23)

–43%

Real Value Decline (Inflation-
Adjusted)

75%

Delivered as Invisible Tax
Relief

26

Active Support Programmes

ENERGY INTELLIGENCE REPORT · FOR EXECUTIVE DECISION-MAKING

1. Overview

Between 2020 and 2023, Türkiye's government deployed fossil fuel support on a scale few outside the Ministry of Finance fully appreciated. In total, ₺277.7 billion in real purchasing power, equivalent to \$13.4 billion at 2020 exchange rates, was channelled through 26 different programmes to shield citizens, industries, and state-owned enterprises from the full force of global energy prices. That figure is not the headline budget number. The budget number, ₺147.4 billion in nominal terms, looks considerably smaller. The gap between what was officially recorded and what was economically spent represents four years of currency collapse, silently eroding every lira the government committed before it could reach the economy at full value.

This report examines that gap. It traces where the money went, how it was delivered, which programmes dominated the budget, and what the data reveals about the structural choices, deliberate and accidental, embedded in Türkiye's energy subsidy architecture. It draws on a cleaned and verified dataset of 104 records across 26 instruments, all restated in Real 2023 TRY to allow honest year-on-year comparison. It is not a report about how much Türkiye spent. It is a report about how much it got for what it spent, and what a smarter allocation would look like.

WHY THIS MATTERS

Türkiye imports approximately 93% of its oil and 99% of its natural gas. Unlike oil-producing nations that subsidise extraction, Türkiye subsidises consumption, absorbing the gap between global dollar-priced energy costs and what its citizens and industries can afford to pay in lira. Every global price shock arrives at Türkiye's economy with near-immediate force. The subsidy system is not a luxury. It is infrastructure.

2. Background: Four Years That Tested Everything

Understanding the numbers requires understanding the timeline. The four years covered by this dataset were among the most economically turbulent in Türkiye's modern history, and each year left a distinct fingerprint on the data.

2020, The Pandemic Baseline

The COVID-19 pandemic drove a global collapse in energy demand. Brent crude briefly went negative in April 2020. For Türkiye, lower import costs temporarily reduced pressure on the balance of payments, but suppressed industrial activity also meant reduced fuel consumption, so tax relief programmes yielded lower absolute values not because policy changed, but because throughput fell. The 2020 real value of ₺88.3 billion stands as the highest in the dataset, a reflection of the lira's relative strength before the devaluations that followed.

2021, The Currency Crisis

Global energy demand rebounded sharply as economies reopened. Simultaneously, Türkiye entered a severe currency crisis. The Central Bank, under political pressure, cut interest rates despite accelerating inflation, a decision that sent the lira into freefall, losing more than 44% of its dollar value by year-end. Annual inflation reached 19.6%. The purchasing power of the entire fossil fuel support budget began a decline it would not reverse. Nominal support rose to ₺29.0 billion. Real support fell to ₺77.0 billion, down ₺11.3 billion from the year before.

2022, The Ukraine War Shock

February 2022's invasion of Ukraine triggered the most severe European energy supply disruption since the 1970s. Dutch TTF gas prices surged above €300 per MWh at peak, nearly ten times pre-war levels. Türkiye, which sources roughly half its pipeline gas from Russia, was better positioned than Western European nations, but not immune. Gas prices for Turkish industry nearly quadrupled in 2022. The government's response accelerated domestic exploration activity, and the Oil and Gas Exploration Exemption (TE_04) multiplied 4.5 times in a single year. Even so, total real support continued to contract, falling to ₺62.5 billion as 72% annual inflation consumed almost every budget increase.

2023, Elections, First Gas, and a Crossroads

The year 2023 brought two defining events. Presidential elections in May created sustained political pressure to keep household energy bills low. And on April 20, 2023, first gas from the Sakarya field in the Black Sea reached the Filyos processing terminal, marking Türkiye's first domestically produced natural gas in its modern history. Initial output of 4 million cubic metres per day was modest against the country's 50-60 bcm annual consumption, but it was strategically significant. The

government announced free residential gas allocations of up to 25 cubic metres per month. By the end of the year, nominal and real support had converged at ₺50.0 billion, not a policy achievement, but a statistical coincidence reflecting just how far the lira had fallen.

3. Data Cleaning: Earning the Right to Be Trusted

Before any chart was drawn, the raw data required careful preparation. Two problems in the original dataset had the potential to fundamentally distort every finding in this report. Both were resolved before analysis began.

ISSUE	WHAT WAS FOUND	HOW IT WAS RESOLVED
Duplicate Records	224 raw rows contained 120 that appeared identical, same year, same programme code. A surface-level review would have flagged them all for deletion.	On closer inspection, these were legitimate sub-records representing separate payment tranches. They were summed, not deleted, leaving 104 verified rows. Deleting them would have silently erased roughly half of all government expenditure.
Inflation Distortion	With annual inflation reaching 72% in 2022, comparing raw lira figures across years was structurally misleading. A number that rose from ₺28B to ₺50B could represent growth or severe decline depending on how prices moved.	Every value was restated in Real 2023 TRY using verified CPI deflators: ×2.70 for 2020, ×2.25 for 2021, ×1.47 for 2022, and ×1.00 for 2023. All charts in this report reflect these inflation-adjusted figures unless stated otherwise.

The result of this process is a dataset in which every figure is verified, every year is directly comparable, and the analysis that follows can be read with confidence. Numbers in this report are not estimates. They reflect real payments, real purchasing power, and honest accounting.

4. The Problem: Billions Spent, Value Lost

The central finding of this report can be stated simply: the government spent more money on fossil fuel support every year, and delivered less real value every year. This is not a contradiction, it is the direct consequence of operating a lira-denominated subsidy system during a period of historic lira devaluation. The budget grew. The currency shrank. The people got less.

₺147.4B Nominal Total, what the budget books say	₺277.7B Real Total, what it actually cost the economy	+79% Nominal growth 2020 → 2023	-43% Real value decline 2020 → 2023
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The annual support budget climbed from ₺27.9 billion in 2020 to ₺50.0 billion in 2023, a 79% increase that looks, on paper, like a government doubling down on its commitment to protect the population. Adjusted for inflation, the same figures tell a completely different story: real purchasing power fell from ₺88.3 billion to ₺50.0 billion, a 43% contraction. The lira depreciated faster than any budget increase could compensate. Every increase in nominal spending was outpaced by the inflation that eroded it.

What this means in practice is that Türkiye's households and industries received progressively less real protection each year despite the government committing progressively more nominal lira. The subsidy system remained structurally large, ₺277.7 billion is an enormous figure by any measure, but its effective firepower diminished year by year. The problem is not that the government failed to act. The problem is that the instrument it was using to act, lira-denominated budget allocation, was being destroyed by the very economic conditions that made protection necessary.

THE CORE PARADOX

A government spending more money each year delivered less protection each year. Not because of policy failure, but because of currency collapse. The nominal budget told one story. The real economy told another. This report is about the gap between them, and what it means for the future.

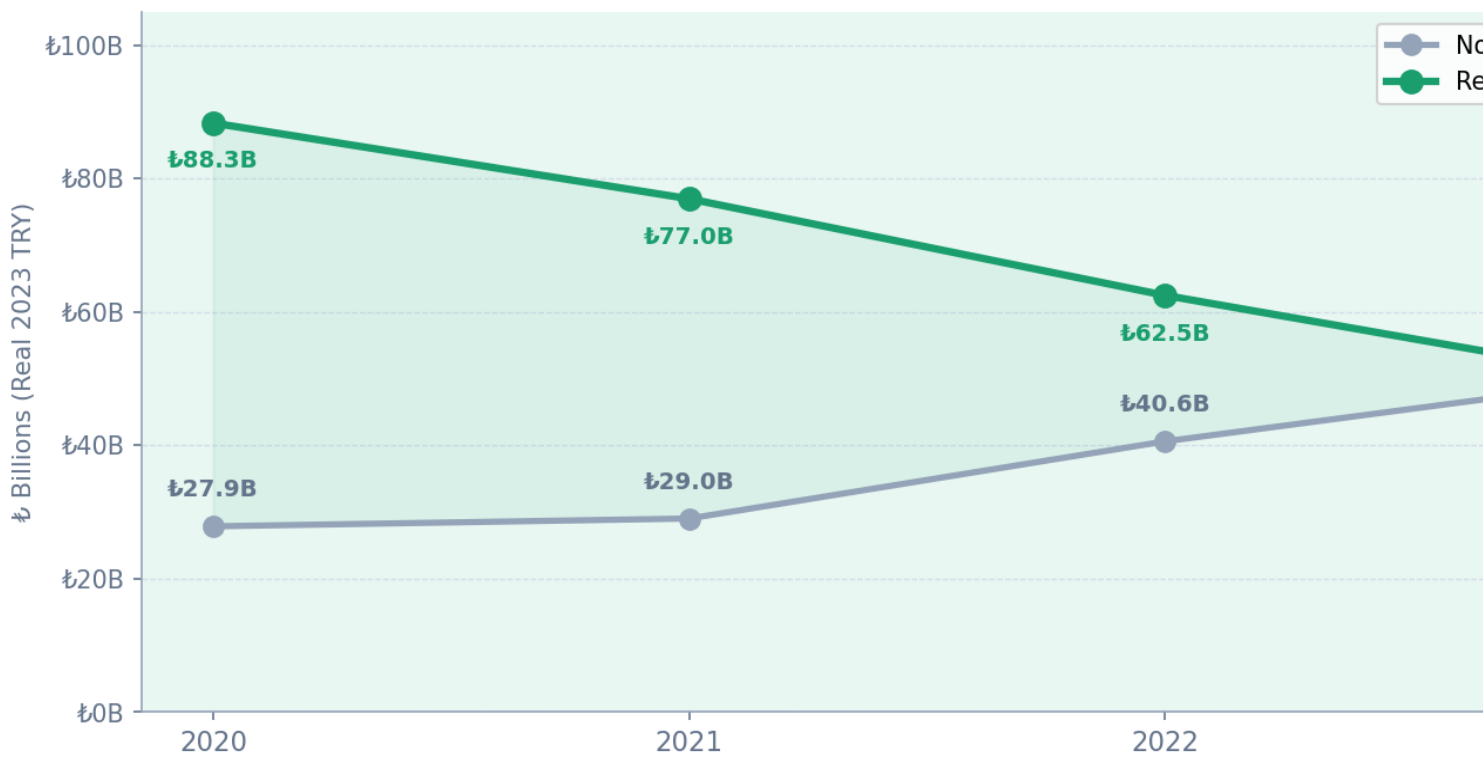
5. Chart Analysis: What the Data Actually Shows

The seven charts that follow represent the full analytical picture of Türkiye's fossil fuel support between 2020 and 2023. Each one is discussed in depth, not just what it shows, but what it means and why it matters. They are designed to be read in sequence, with each chart building on the one before it.

CHART 1 · NOMINAL VS. REAL SUPPORT, THE GREAT DIVERGENCE

This is the foundational chart. Two lines, two completely different stories. The nominal line climbs from ₺27.9B to ₺50.0B, a picture that suggests growing government commitment. The real line falls from ₺88.3B to ₺50.0B, a picture of systematic erosion. The green shaded area between them is the value that inflation consumed before it could reach the economy.

How Fossil Fuel Support Has Changed Over the Years (Nominal vs. Inflation-Adjusted Value)



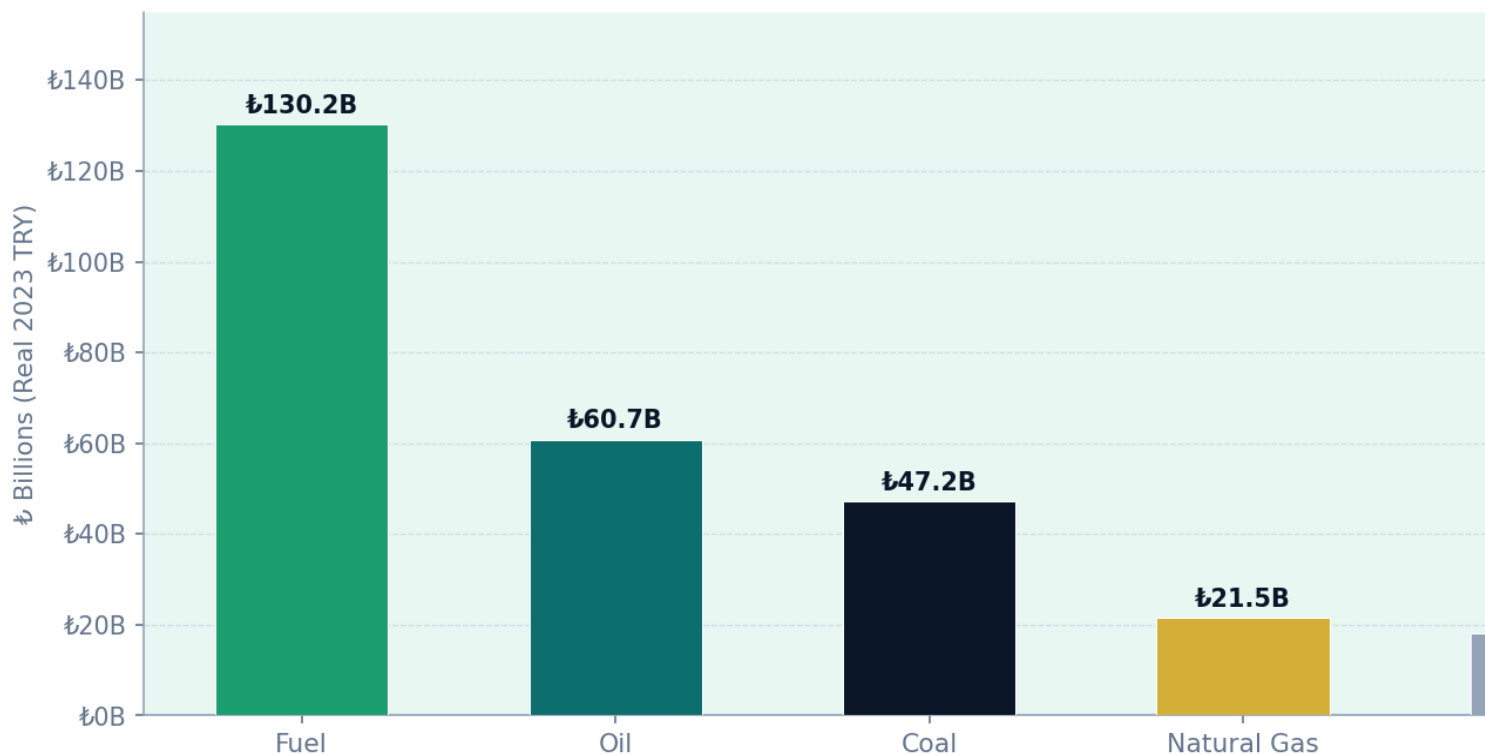
The most striking feature of this chart is the 2023 convergence point, where both lines meet at ₺50.0 billion. This is not a sign of progress, it is a sign that the lira had by 2023 depreciated to the point where nominal and real figures were almost equivalent, because the currency had lost so much of its value that there was little room left to distort. The government was spending ₺50 billion. It was receiving ₺50 billion of real value for it. In 2020, the same ₺27.9 billion bought ₺88.3 billion of real support capacity. That gap, ₺60 billion of phantom value, is what this report is fundamentally about.

- ▶ Real annual support declined every single year without exception, even when nominal spending rose sharply
- ▶ The steepest real decline came in 2021-2022, when the combined effect of inflation and nominal underspending erased ₺14.5 billion of real value in twelve months
- ▶ By 2023, the government was receiving roughly 57 cents of real purchasing power for every lira it had received in 2020

CHART 2 · BREAKDOWN BY FUEL TYPE, WHERE THE MONEY CONCENTRATES

Once we understand how total support changed over time, the next question is where it went. This chart shows the full four-year cumulative distribution by fuel category, and the answer is unequivocal: Refined Fuels dominate everything else by a wide margin.

Breakdown by Fossil Fuel Type (Total Real Support, 2020-2023)



Refined Fuels, encompassing naphtha, aviation fuel, diesel, petroleum coke, and related products, accounted for ₺130.2 billion in real support over the four years, representing 47% of the total. This is more than Oil, Coal, and Natural Gas combined. The fuel category is driven entirely by tax exemptions rather than direct payments, meaning the government did not write cheques to these sectors, it simply did not collect taxes that would otherwise have been owed. That distinction has significant implications for how reform would need to be structured.

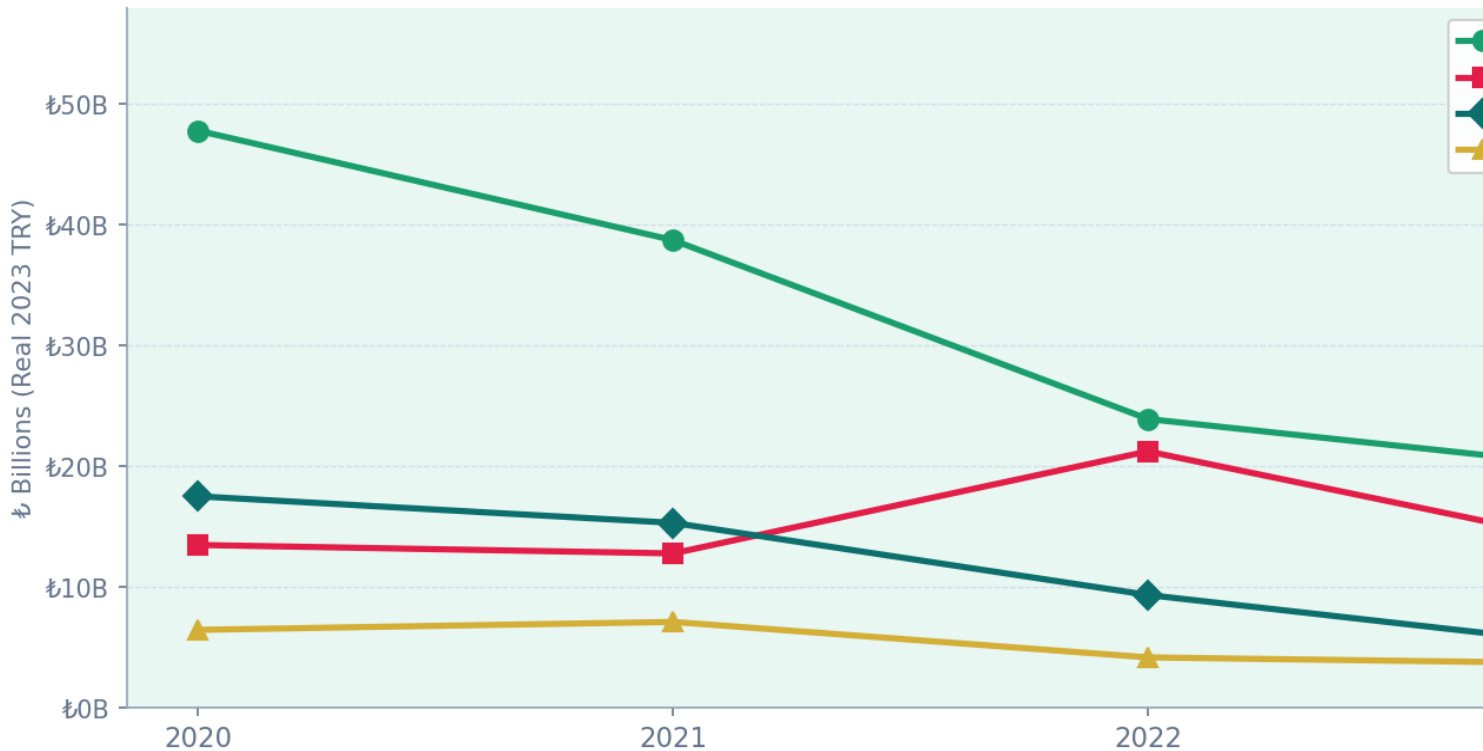
Coal, at ₺47.2 billion, receives more support than Natural Gas (₺21.5 billion) despite natural gas being the fuel most exposed to the import price volatility the subsidy system was originally designed to address. This reflects the legacy of industrial coal infrastructure and the direct cash transfer system that supports it, rather than a deliberate prioritisation of gas consumers. General Fossil Fuel Support at ₺18.1 billion covers cross-cutting instruments that straddle multiple categories.

- ▶ Refined Fuels absorb more real support than all other categories combined, a concentration that reflects industrial and transport sector dominance
- ▶ Natural Gas, the fuel most directly linked to household energy security, receives the smallest category allocation after General FF Support
- ▶ The fuel type distribution has not fundamentally changed across the four years, the same categories dominate in 2023 as in 2020

CHART 3 · FUEL TYPES OVER TIME, DIVERGENT TRAJECTORIES

This chart disaggregates the fuel type totals year by year, revealing not just where the money went but when patterns changed. No category escaped real value decline across the period, but the pace and the reasons varied significantly.

**Fossil Fuel Support by Type Over Time
(Real 2023 TRY - Annual Breakdown)**



Refined Fuel support fell from ₺47.8 billion in 2020 to ₺19.7 billion in 2023, a 59% real decline over four years. This was not a policy decision to reduce support for the sector. It was inflation silently eroding the real value of a tax exemption that stayed nominally stable while the lira collapsed. Coal fell even more sharply, dropping 72% from ₺17.5 billion to ₺4.9 billion, for similar reasons amplified by reduced coal thermal plant construction activity.

Oil is the outlier. It held relatively steady through 2020 and 2021, then surged from ₺12.8 billion to ₺21.3 billion in 2022, the only category to show a real year-on-year increase in the entire dataset. This spike was not planned. It was a direct response to the Ukraine war and the resulting urgency around domestic energy exploration. By 2023, it had retreated to ₺13.1 billion as the immediate emergency response subsided.

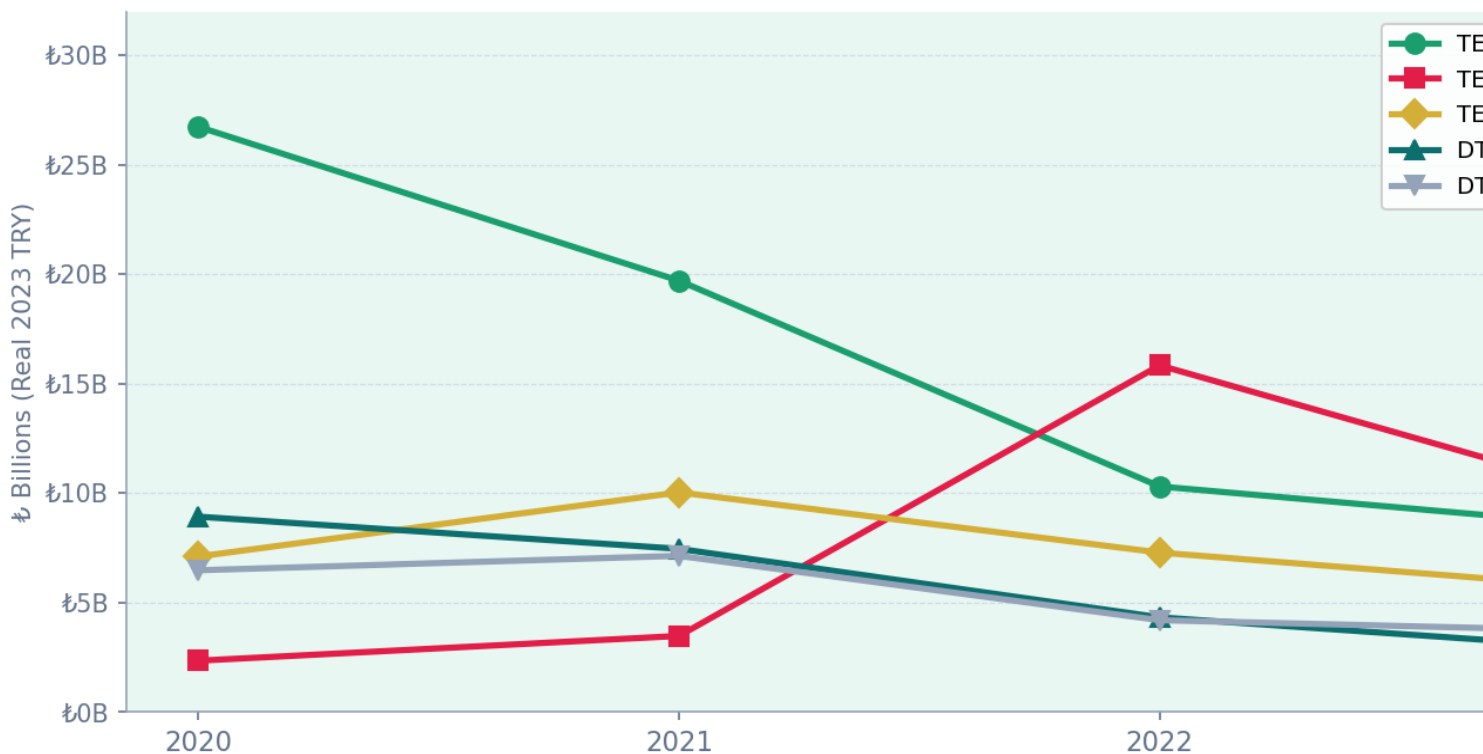
- The 2022 Oil surge is the clearest signal in the entire dataset that global geopolitical events, not domestic policy design, have been the primary architects of Türkiye's subsidy allocation

- ▶ Refined Fuel's persistent year-on-year decline was entirely driven by inflation, not policy reform, the exemption framework remained intact while its real value eroded
- ▶ Natural Gas support stayed relatively stable in nominal terms, which means it also declined in real terms, falling from ₺6.5B to ₺3.7B, a 43% real contraction

CHART 4 · BREAKDOWN BY INSTRUMENT CODE, UNMASKING THE DRIVERS

If the previous chart showed when the spending changed, this one reveals what caused it. By tracking the five most significant instrument codes year by year, we can identify the specific programmes responsible for each movement in the aggregate picture.

**Breakdown by Instrument Code Over Time
(Key Programmes - Real 2023 TRY)**



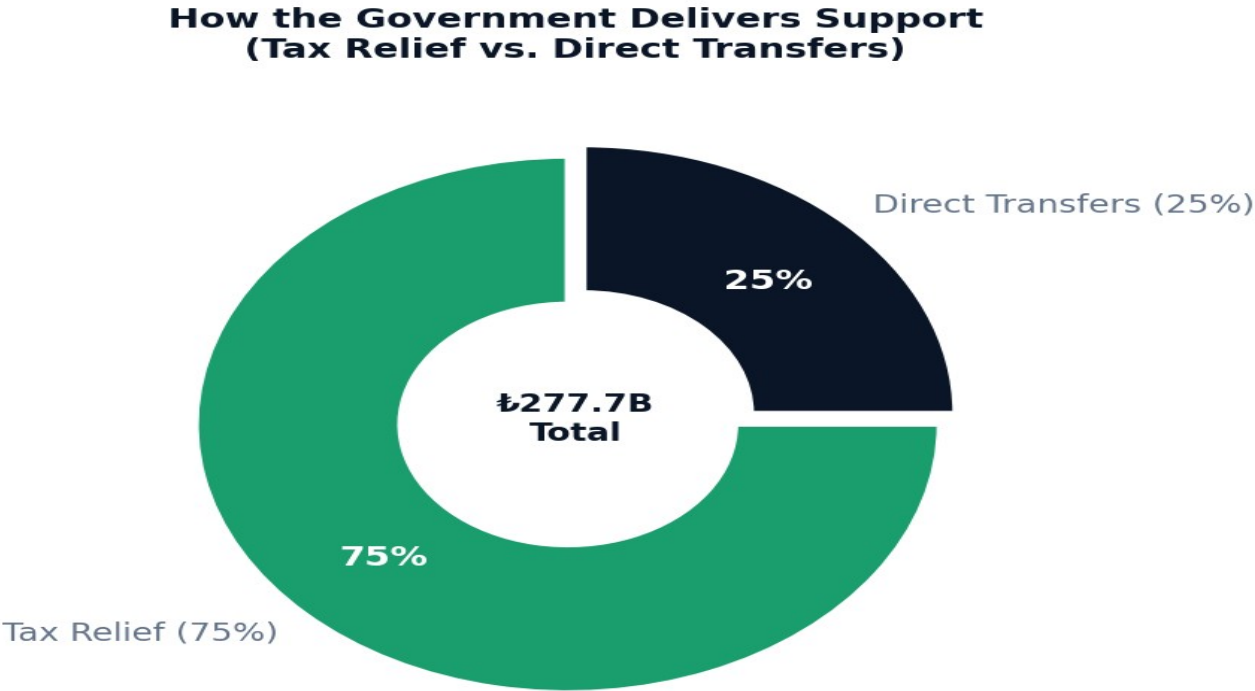
TUR_TE_12, the Fuel Tax Exemption for Naphtha and Petroleum Coke, was the budget's dominant programme in 2020 at ₺26.7 billion in real terms. It declined every subsequent year, falling to ₺8.4 billion by 2023. This trajectory mirrors the Refined Fuel category it drives, and reflects inflation eroding a nominally stable exemption rather than any policy change. TUR_TE_12 remains the single largest programme in the dataset across the full four-year period, at ₺65.1 billion total, roughly 26 cents of every real lira spent.

TUR_TE_04, the Oil and Gas Exploration Exemption, tells a completely different story. Nearly invisible at ₺2.35 billion in 2020, it surged to ₺15.8 billion in 2022 as

Türkiye accelerated domestic drilling activities in response to the Ukraine war. Sakarya field development, Gabar onshore oil exploration, and intensified TPAO activity all fed into this spike. By 2023 it had moderated to ₺9.6 billion, still far above its pre-war baseline. TUR_TE_07 (Aviation Fuel Exemption) and TUR_DT_05 (Coal Plant Construction) both declined steadily across the period.

- ▶ TE_12 and TE_04 together represent ₺96.4 billion, or 35% of all four-year real support, two programmes, more than a third of the budget
- ▶ The Ukraine war turned TE_04 from a minor line item into the second-largest programme almost overnight, the clearest example of reactive rather than strategic subsidy policy
- ▶ An outlier worth noting: TUR_TE_17 (VAT Exemption for Investment Machinery) grew 3,655% in a single year, from ₺19M in 2022 to ₺704M in 2023, a spike that warrants close regulatory scrutiny

CHART 5 · SUPPORT TYPE SPLIT, THE 75% THAT NEVER APPEARS IN THE BUDGET
This chart may be the most structurally revealing in the entire report. It shows not what the government spent, but how it spent it, and the answer has profound implications for fiscal transparency and reform design.



Three-quarters of all real fossil fuel support, ₺209.1 billion of ₺277.7 billion, was delivered not as direct government expenditure but as tax relief: the government choosing not to collect taxes that would otherwise have been owed. Only 25% took the form of actual government disbursements. This means that when people look at Türkiye's official budget, they see only a fraction of the country's real energy

subsidy burden. The majority is invisible, it does not appear as a spending line, it does not require annual parliamentary approval in the same way, and it is structurally much harder to cut.

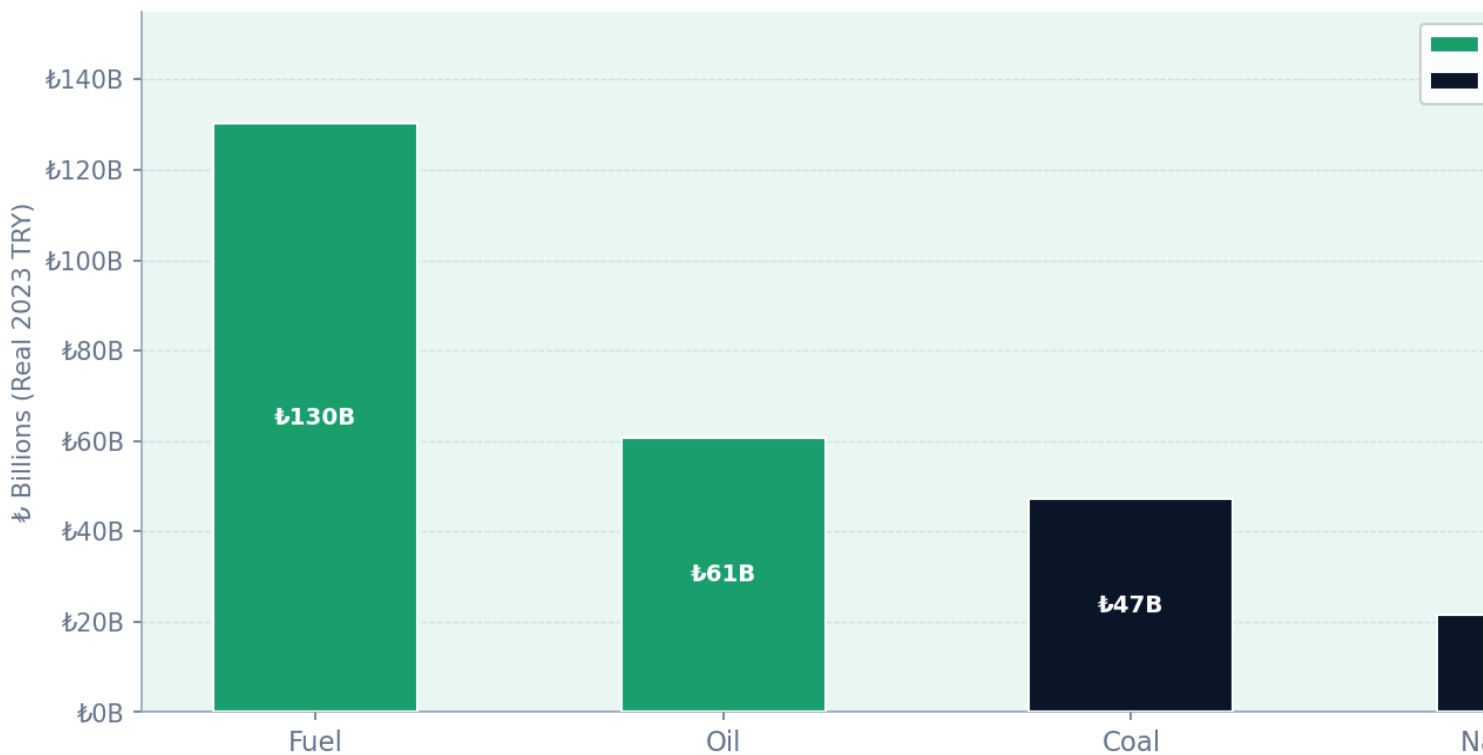
The OECD has specifically flagged this opacity. Türkiye has not submitted a G20 voluntary peer review of its fossil fuel subsidy programmes, and its public finance institutions did not supply transaction-level data for international subsidy transparency assessments. This is not accidental. Tax relief subsidies are politically convenient precisely because they are invisible, businesses lobby hard to retain them, and the public rarely sees them as a government expenditure line they could reclaim.

- ▶ Tax relief is 'forgone revenue', it reduces government income rather than increasing spending, making it invisible to most standard budget analysis
- ▶ This invisibility is institutionally advantageous for programme beneficiaries: exemptions that don't appear in budget books are far less likely to face annual scrutiny or reform
- ▶ Only ₺68.7 billion, one lira in four, was delivered as a direct transfer that appeared as an explicit budget outlay

CHART 6 · SUPPORT MECHANISM BY FUEL TYPE, TWO SYSTEMS, ZERO OVERLAP

Building on the overall support type split, this chart cross-tabulates the delivery mechanism against each fuel category, and reveals that Türkiye doesn't operate one subsidy system. It operates two entirely separate ones, with no overlap whatsoever.

Support Mechanism by Fuel Type (Tax Relief vs. Direct Transfers - Real 2023 TRY)



Refined Fuels and Oil receive 100% of their support through tax relief. Not a single lira of direct cash has been transferred to these sectors. The government's entire relationship with the transport fuel and upstream oil sectors is mediated through the tax code, exemptions, reliefs, and forgone revenues that never appear as budget lines. Coal and Natural Gas, by contrast, receive 100% of their support as direct cash transfers. Every lira is an explicit disbursement, primarily through capacity mechanism payments, infrastructure support, and household coal aid.

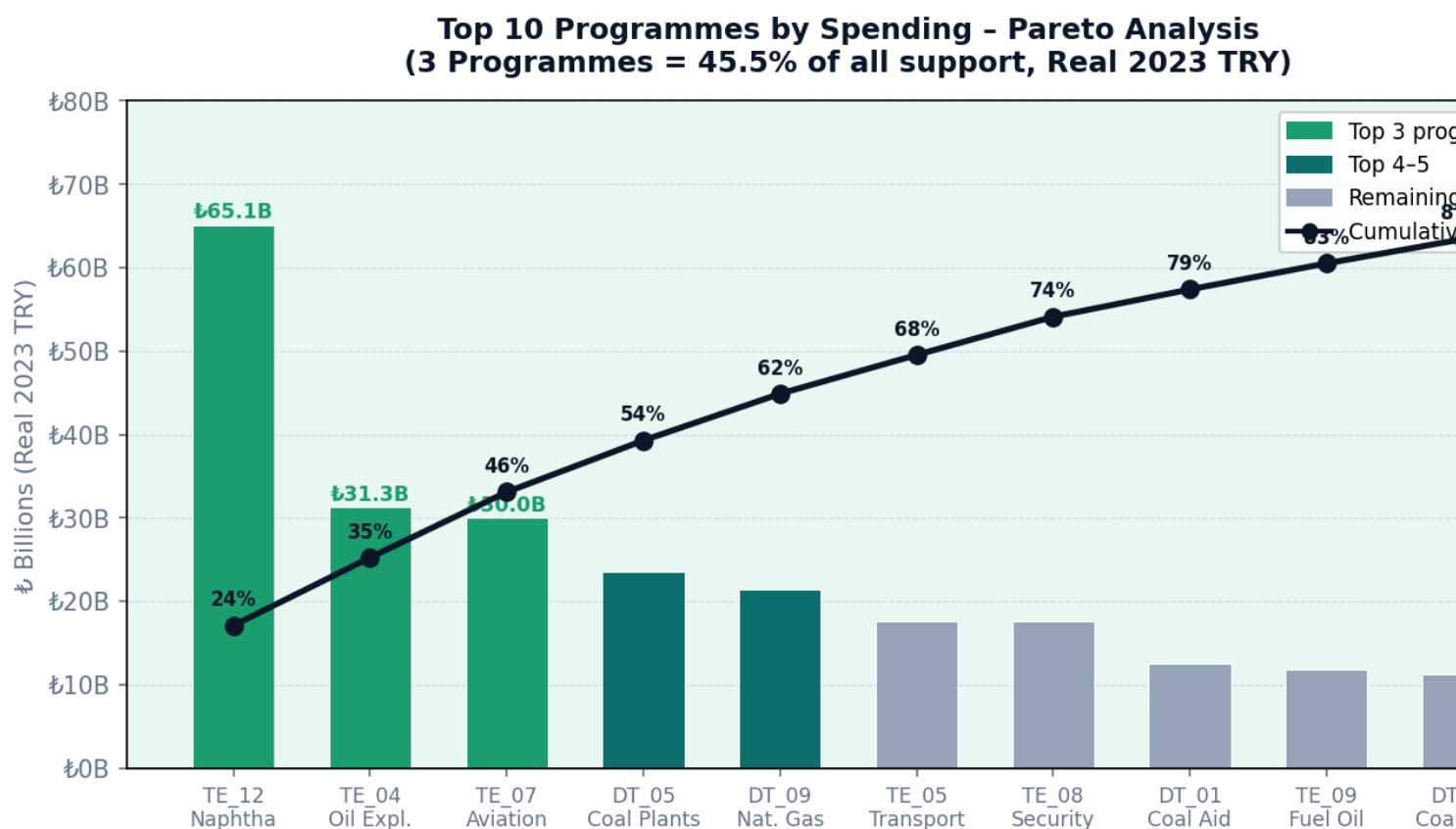
This bifurcation is not just an accounting curiosity. It represents two completely different policy systems operating under the same headline label of 'fossil fuel support.' The tax relief system is corporate, industrial, and largely invisible. The direct transfer system is institutional (state enterprises), household-facing, and politically visible. Any reform effort must engage with both systems separately, they have different legal structures, different institutional owners, different beneficiary constituencies, and different political economies.

- ▶ Fuel and Oil's tax-only architecture means reform requires legislative change to the tax code, a higher political bar than adjusting a spending line
- ▶ Coal and Natural Gas direct transfers are disbursed through state entities and reach households, making them more visible, more politically sensitive, and more immediately impactful if cut

- The complete absence of overlap between the two systems suggests they evolved independently, with different policy objectives, rather than as part of a coherent unified strategy

CHART 7 · PARETO ANALYSIS, THREE PROGRAMMES, HALF THE BUDGET

The final chart answers a question every policymaker needs to ask before attempting reform: where is the leverage? The Pareto analysis of the top 10 programmes reveals an extreme concentration that is both a challenge and an opportunity.



Of the 26 programmes in the dataset, the top three, TE_12 (Naphtha Exemption, ₺65.1B), TE_04 (Oil Exploration, ₺31.3B), and TE_07 (Aviation Fuel Exemption, ₺30.0B), account for 45.5% of all four-year real support. The top five programmes account for 61.7%. The top 10 account for 87.2%. The bottom 16 programmes share less than 13% of the total budget between them.

This concentration is the most strategically significant finding in the report for one simple reason: it means Türkiye does not need to redesign 26 programmes to unlock meaningful fiscal reallocation. It needs to redesign three. TE_12 alone, a tax exemption for petrochemical processors, represents more than a quarter of the entire budget. A targeted conditionality framework applied to these three programmes would free up resources that could be redeployed toward direct

household support or domestic energy investment without touching the other 23 programmes at all.

- ▶ Top 3 programmes = £127.4B = 45.5% of all support. Top 5 = £218.1B = 61.7%. The concentration is extreme by international standards
- ▶ TE_12 (Naphtha) is the single most consequential reform target in the entire dataset, changing its conditionality terms would move more fiscal resources than restructuring any other combination of programmes
- ▶ The long tail of smaller programmes (positions 11–26) represents £36.0B collectively, meaningful but secondary. Reform sequencing should target the top three first

6. Opportunities: What the Data Makes Possible

The findings above do not just describe a problem. They describe a specific structure, and specific structures create specific opportunities. Three stand out as both analytically grounded and politically achievable.

The Concentration Opportunity

Because 45.5% of the budget sits in three programmes, a targeted reform of those three programmes alone could reallocate a disproportionate share of national energy wealth without touching the framework that governs the other 23. The leverage here is exceptional. This is not a situation where reform requires dismantling the entire system, it requires surgically redesigning three tax exemptions, negotiating conditionality terms with a handful of major industrial players, and reinvesting the recovered value in more effective channels.

The Invisibility Opportunity

The fact that 75% of support flows through tax relief is usually framed as a transparency problem. It is also a reform opportunity. Converting unconditional tax exemptions into conditional ones, where the exemption is retained but linked to measurable green investment or efficiency targets, does not require the government to raise taxes, cut spending, or confront any constituency with a direct loss. It requires redirecting the same fiscal concession toward a different behaviour. The political economy of conditionality is far more manageable than the political economy of elimination.

The Structural Timing Opportunity

Türkiye's energy landscape is changing structurally for the first time in its modern history. The Sakarya gas field has begun production. The Gabar onshore oil discovery has opened a new frontier for domestic crude. Renewable energy capacity, solar in particular, is growing rapidly. As domestic production gradually

reduces import dependency, the fiscal cost of the subsidy system will structurally decline. The government has a window, now, to lead that transition proactively rather than be overtaken by it reactively.

7. Recommendations

The three recommendations below are designed to work as a coherent system, not as standalone cuts. They are sequenced to address the largest levers first, protect the most vulnerable immediately, and build structural resilience over the medium term.

Recommendation 1, Condition the Tax Break, Don't Cancel It

THE STRATEGY

Convert the top industrial tax exemptions, beginning with TE_12 (Naphtha) and TE_07 (Aviation), from unconditional reliefs into performance-conditioned incentives. Companies retain their exemptions only by demonstrating a defined reinvestment percentage into verified energy efficiency, equipment decarbonisation, or renewable procurement.

This approach sidesteps the political and economic resistance that outright exemption removal would generate. Petrochemical processors, aviation operators, and industrial fuel consumers depend on these exemptions for their cost competitiveness. Removing them entirely risks job losses, production reductions, and sustained corporate lobbying. Conditioning them avoids all of that while converting a passive fiscal cost into an active industrial policy instrument. A company that invests in process electrification or heat recovery earns the right to retain its full exemption. A company that does nothing faces a gradual phase-down. The government advances its 2053 net-zero commitment through aligned incentives rather than blunt regulation, and at no additional fiscal cost.

Recommendation 2, A Precision Shield for Households

THE STRATEGY

Replace universal natural gas and coal transfer programmes, which currently benefit all household income tiers equally, with means-tested direct cash transfers targeted at low and middle-income households. Recovered savings are redirected to increase the real value of support for those who actually need it.

The current direct transfer architecture is effectively regressive: a wealthy household heating a large home benefits proportionally more from a low gas price than a low-income household in a smaller flat. Means-tested cash transfers, built on existing social welfare infrastructure, deliver more real purchasing power per lira to the households most exposed to energy price volatility, while reducing the total subsidy bill. The Sakarya free gas allocation announced in April 2023 is a meaningful precedent: a targeted, metered benefit for residential consumers.

Scaling that model and applying rigorous income targeting to the coal and gas direct transfer programmes would dramatically improve the real welfare impact per lira spent.

Recommendation 3, Invest the Savings in Energy Sovereignty

THE STRATEGY

Deploy recovered fiscal savings into structured government-industry co-investment vehicles for domestic renewable energy generation. Every gigawatt of domestic capacity is a permanent structural reduction in Türkiye's import exposure and future subsidy liability.

The subsidy system exists because Türkiye is exposed. Its exposure is structural, 93% oil import dependency, 99% gas import dependency, and no amount of subsidy redesign alone can address a structural problem. Domestic renewable generation is the only permanent solution. Türkiye ranks among the world's most solar-irradiant countries and has substantial onshore and offshore wind potential. The OECD has specifically identified this under-utilised capacity as a critical policy gap. Fiscal savings generated through Recommendations 1 and 2 could be structured as co-investment capital, the government provides initial funding, private industry provides project delivery, and the resulting cheaper domestic energy reduces the import bill that makes the subsidy system necessary in the first place. Each gigawatt built today is a lira of subsidy not needed tomorrow.

8. Action Points

Translating the recommendations above into practical policy steps requires a sequenced roadmap that protects economic stability while building toward structural change. The following actions are organised across a 24-month implementation horizon.

PHASE	ACTIONS	OUTCOME
Phase 1 <i>Assess & Align</i> Months 1-6	Convene industry roundtables to co-design conditioned exemption criteria. Commission means-testing to identify households eligible for targeted transfers.	Industry trust secured before any rules change. Citizen eligibility data ready before the transfer programme launches.
Phase 2 <i>Shift Begins</i> Months 7-18	Activate targeted household cash transfers. Introduce conditionality clauses for industrial tax exemptions with a 12-month grace period for compliance.	Vulnerable households protected from day one. Businesses have time to adapt without cutting jobs.
Phase 3 <i>Build Forward</i> Months 19-24	Deploy recovered budget savings into joint government-industry renewable energy projects. Publish annual subsidy reallocation reports for public accountability.	Domestic energy capacity reduces future import exposure. Transparency builds long-term institutional trust.

The sequencing logic is deliberate. Phase 1 builds the institutional and informational foundations that Phase 2 requires, trust with industry, and a verified household eligibility register. Phase 2 delivers immediate protection to the most vulnerable while beginning the corporate transition, with enough runway that businesses do not face abrupt disruption. Phase 3 deploys the fiscal savings generated in Phase 2 into long-term infrastructure investment that permanently reduces Türkiye's energy import dependence, and with it, the structural need for the subsidy system itself.

9. Call to Action

The data in this report has said what it has to say. The structure of the problem is clear. The leverage points are identified. The reform pathway is mapped. What remains is a decision.

Türkiye is at a genuinely rare inflection point. The Sakarya gas field has entered production, the country's first domestic gas in its modern history. The Gabar oil discovery has opened a new domestic crude frontier. Renewable energy capacity is scaling. The structural conditions that made the subsidy system necessary, near-total import dependence, are beginning, for the first time, to shift. This creates a window for proactive reform that may not remain open indefinitely.

Continuing on the current trajectory means a system in which ₺277.7 billion of real purchasing power flows primarily through invisible tax exemptions, concentrated in three corporate programmes, with declining real value reaching the households who need protection most. It means a subsidy architecture that was built reactively, crisis by crisis, year by year, and has never been structurally reviewed against what it was actually supposed to achieve.

The alternative is not austerity. It is precision. Redirect the same budget, or a meaningfully smaller one, so that the money that currently disappears into corporate tax codes instead reaches vulnerable households, conditions industrial behaviour toward efficiency, and builds the domestic energy infrastructure that permanently reduces Türkiye's exposure to the next global shock.

THE DECISION

This is not a question of whether Türkiye can afford to reform its fossil fuel support system. Given a 43% real decline in support value and extreme concentration in three corporate programmes, it is increasingly a question of whether it can afford not to.

10. Conclusion, The Money Was Never Missing

For four years, Türkiye's government navigated a near-impossible set of simultaneous pressures. A global pandemic that destroyed demand. A currency crisis that destroyed purchasing power. A European war that destroyed supply certainty. A domestic political cycle that demanded visible protection for millions of households. The subsidy system absorbed each shock in turn, imperfectly, inequitably, and at enormous fiscal cost. But it held.

What this analysis makes clear is that the system held in a way that left specific structural problems intact and unaddressed. A concentration of budget weight in three corporate tax exemptions. A universal household support architecture that delivers proportionally more to the wealthy than the poor. A transparency deficit that keeps the real scale of subsidy spending invisible to public scrutiny. A reactive allocation pattern shaped more by global geopolitics than by domestic policy intent.

None of this means the system failed. It means it was built for emergencies, not for efficiency. Türkiye spent ₺277.7 billion in real purchasing power shielding its economy from forces largely outside its control. That spending was necessary. The question this report raises is not whether it should have happened, it should have, but whether the next ₺277.7 billion has to be spent the same way.

The money was never missing. It was hiding inside the tax code, spread across instruments built in different eras for different purposes, with no unified logic connecting them to the outcomes that Türkiye's people actually need. Surfacing it, redirecting it, and attaching it to conditions that serve both households and the long-term energy transition is the work now in front of policymakers.

The numbers have told their story. The rest is leadership.

Appendix, Data and Methodology Notes

Dataset Provenance

Source: Türkiye Fossil Fuel Support Database (OECD-derived), 2020–2023. Original dataset: 224 rows across 26 instrument codes and 4 years. After sub-record aggregation: 104 clean, verified records. All monetary values restated in Real 2023 TRY using Turkish Statistical Institute (TÜİK) CPI data unless otherwise stated.

CPI Deflators Applied

2020: $\times 2.70$ (cumulative price level approximately $2.7\times$ lower than 2023) | 2021: $\times 2.25$ | 2022: $\times 1.47$ | 2023: $\times 1.00$ (base year). USD equivalents, where referenced in context, calculated using period-average TRY/USD exchange rates.

Scope and Limitations

This dataset captures OECD-defined direct expenditure and tax expenditure support measures as reported. It does not capture BOTAŞ loss-absorption subsidies (a separate, substantial off-balance-sheet form of gas consumer support), state-enterprise implicit subsidies, or regulatory interventions such as retail price caps. The ₺277.7 billion total should be understood as a verified lower-bound estimate of Türkiye's fossil fuel support. Total economy-wide support, including BOTAŞ losses, is materially higher.